- ❖ At the time of admission of a partner it is necessary to determine the new profit sharing ratio because the new partner is entitled to share the future profits of the firm.
- ❖ If the new profit sharing ratio is not agreed, the partners will share the profits and losses equally.
- ❖ The existing partners sacrifice part of their share of profit in favour of the new partner. To compensate the sacrifice made by the existing partners, goodwill brought by the new partner is distributed in the sacrificing ratio to the old partners who sacrifice.
- ❖ Sacrificing ratio is the proportion of the profit which is sacrificed or foregone by the old partners in favour of the new partner.

Self-examination questions

MDKA3W

I Multiple Choice questions

Choose the correct answer

1. Revaluation A/c is a

(a) Real A/c (b) Nominal A/c

(c) Personal A/c (d) Impersonal A/c

2. On revaluation, the increase in the value of assets leads to

(a) Gain (b) Loss

(c) Expense (d) None of these

3. The profit or loss on revaluation of assets and liabilities is transferred to the capital account of

(a) The old partners (b) The new partner

(c) All the partners (d) The Sacrificing partners

4. If the old profit sharing ratio is more than the new profit sharing ratio of a partner, the difference is called

(a) Capital ratio (b) Sacrificing ratio

(c) Gaining ratio (d) None of these

5. At the time of admission, the goodwill brought by the new partner may be credited to the capital accounts of

(a) all the partners (b) the old partners

(c) the new partner (d) the sacrificing partners

12th-Accountancy-Unit-05.indd 171 1/4/2020 12:00:41 PM